

Attached is a draft of the Enron in-house legal opinion in connection with the put option with Project Merlin.

> Alicia L. Curry
> Vinson & Elkins L.L.P.
> 2300 First City Tower
> 1001 Fannin Street
> Houston, Texas 77002-6760
> Phone: 713-758-4428
> Fax: 713-615-5688
> (Licensed in New York only)

>

>

>

>

> ++++++

> CONFIDENTIALITY NOTICE

> ++++++

> The information in this email may be confidential and/or privileged. This
> email is intended to be reviewed by only the individual or organization
> named above. If you are not the intended recipient or an authorized
> representative of the intended recipient, you are hereby notified that any
> review, dissemination or copying of this email and its attachments, if
> any, or the information contained herein is prohibited. If you have
> received this email in error, please immediately notify the sender by
> return email and delete this email from your system. Thank You
>

PRIVILEGED AND CONFIDENTIAL:

Contains attorney-client communications and/or attorney work product.

<<Enron Opinion for Merlin Put Option.DOC>>

- Enron Opinion for Merlin Put Option.DOC